

Executive Summary

In recent years, the pet industry has shown a hot growth trend, and the industry competition has become more and more fierce, so it is very important to gain a competitive advantage in the industry. The report is based on how PetCircle is using digital marketing strategies to solve its existing problems and identify potential opportunities to increase its market share and awareness in the pet industry. Specifically, the corresponding digital marketing strategies and solutions are given to the market share problems caused by the decline of brand image and market competitiveness. Based on the problem, we set the desired SMART goals. And the following strategies were proposed: Strengthening Data Security and Customer Trust, Expanding Reach with Regional Marketing and Partnerships, Enhancing the Customer Experience through Website and App Improvements, Expanding Product Offerings and Promoting Sustainability. As for our solution and implementation approach, we will focus on using AI technology to analyse our data, keep customer information safe, and target the target market. and partnerships with well-known local bloggers to increase awareness of the PetCircle online sales brand. We set up an action plan with a time span of about two months to give us a specific timeline for our work to meet the goals of the report and the potential cost during each part of the plan. Finally, in our evaluation session, we selected some quantifiable metrics (e.g., KPIs) and analysis tools to show the results of the above digital marketing strategies more clearly, and constantly adjust the strategy to achieve the desired goals.

Company Background

Pet Circle was founded in 2011 by Michael Frizell, it operates in the pet care and supplies industry, focusing on the Australian market (Pet Circle 2024). It is positioned as one of the country's largest e-commerce platforms specializing in pet products (Crozier 2023). Pet Circle serves over 6.9 million households with pets across Australia (Animal Medicines Australia 2022). It offers thousands of products, has expanded its warehouse space significantly, and raised millions in funding to enhance its delivery and operational capabilities (Oakley-Newell 2023). Pet Circle operates an extensive online store that offers pet food, grooming products, healthcare, toys, and accessories for a variety of pets, including dogs, cats, birds, fish, and reptiles (Pet Circle 2024). It focuses on fast delivery, covering major cities like Sydney, Melbourne, Perth, and Brisbane (Pet Circle 2024). Additionally, the company has a team of over 30 veterinarians providing advice to customers around the clock (Tucak 2022).

Digital Business Models

Pet Circle's business model is predominantly e-commerce with several distinct elements.

Subscription Model: Pet Circle offers a subscription service for pet essentials, allowing customers to automate repeat purchases such as pet food (Pet Circle 2024). This provides convenience to customers and ensures recurring revenue for the business.

Direct-to-Consumer (D2C): The company follows a direct-to-consumer model, cutting out intermediaries to offer a wide range of pet products directly through its online platform (Pet Circle 2024). This allows them to provide competitive pricing and faster delivery options.

Vet Services and Support: Unique to Pet Circle, the company offers 24/7 veterinary consultations through its platform, blending e-commerce with professional pet healthcare advice (Pet Circle 2024).

Product and Service Portfolio

The platform offers a variety of food products grooming products across major pet types, including dogs, cats, birds, fish, and small reptiles (Pet Circle 2024). Brands range from premium to budget-friendly, catering to diverse customer needs (Pet Circle 2024). Also, it offers a broad selection of toys, bedding,

leashes, collars, and other pet-related accessories (Pet Circle 2024). Besides, Pet Circle provides pet medications, supplements, flea and tick treatments, and other health-related items (Pet Circle 2024). These products are often accompanied by professional advice from veterinarians (Pet Circle 2024). In addition to products, Pet Circle distinguishes itself by offering access to veterinary advice, providing professional health support to pet owners at no extra cost (Pet Circle 2024).

Situation analysis

Cyber security

Pet Circle faces several cybersecurity risks, including data breaches, ransomware, phishing attacks, DDoS attacks, and weak API security (BigCommerce 2021). These threats could lead to unauthorized access to sensitive customer information, financial fraud, or operational downtime (BigCommerce 2021). Customer account takeovers and compliance risks with data protection regulations also pose significant challenges (BigCommerce 2021). To mitigate these risks, Pet Circle can implement data encryption, two-factor authentication (2FA), regular security audits, employee training on cybersecurity, and DDoS protection to safeguard its digital infrastructure and ensure customer trust (BigCommerce 2021).

Political

The Australian government offers a stable political environment that supports e-commerce growth (Department of Foreign Affairs and Trade 2023), including pet-related industries like Pet Circle. Also, there is need for supportive policies for pet ownership, such as reforms in strata laws and housing regulations, to make pet ownership easier for apartment dwellers and renters (Animal Medicines Australia 2022). According to Animal Medicines Australia report, among the reasons for not owning a pet, the house is not suitable for pets or the landlord does not allow pets accounted for 55% (Animal Medicines Australia 2022).

Economic

Australia's strong economy, ranked among the largest globally, offers a favorable environment for Pet Circle (Australian Government 2022). The CPI (Consumer Price Index) of Australia is relatively lower compared to other Western markets (Australian Bureau of Statistics 2023). The CPI is used to measure household inflation, Australia's low inflation rate presents an advantage for continued consumer spending on pet products .

Social

Pet ownership is deeply embedded in Australian culture, with a focus on the humanization of pets (Animal Medicines Australia 2022). The Animal Medicines Australia report reveals that Australia's pet industry is growing, 69% of Australian households now own pets, up from 61% in 2019. This surge in pet ownership has led to increased demand for pet products, helping Pet Circle's expansion.

Technological

Pet Circle has leveraged technology to enhance its competitive advantage, particularly through its logistics infrastructure and fast delivery services (Crozier 2023). The growing use of online platforms for purchasing pet products has allowed companies like Pet Circle to thrive.

Environmental

Australian consumers are increasingly seeking sustainability in products, including those for pets (Gupta 2024). Pet Circle is offering sustainable and environmentally friendly products to meet customers' needs (Pet Circle 2024).

Legal

Pet Circle must comply with Australian consumer protection laws and data privacy regulations (OAIC 2023). In fact, Pet Circle has paid penalties for allegedly misleading customers about cost of online goods in 2023 (Australian Competition and Consumer Commission 2023). Also, Legal reforms promoting pet-friendly housing policies could also impact Pet Circle's customer base, potentially expanding the market by making pet ownership easier for renters (Animal Medicines Australia 2022).

Identify the main problem and SMART objectives

PetCircle is facing the problem of a declining brand image. The main reason for this problem is the news that PetCircle was exposed in 2023 to mislead consumers about the prices of goods online. Although PetCircle promptly paid the fine after the incident, the exposure of such negative news will cause consumers to doubt the integrity and reliability of the brand. For digital marketing, such negative news will spread through social media such as Facebook and Instagram, amplifying the negative impact on the brand. Moreover, due to the association mechanism of search engines, when consumers search PetCircle, they will see such negative news, which will greatly reduce the brand's appeal (Chaffey, D 2023).

PetCircle faces the problem of lack of effective digital marketing and branding, which will lead to its lack of visibility in the pet products market, which will affect its market share. First, PetCircle lacks advanced and clear digital marketing focus and detailed execution plan. At present, it simply does Internet celebrity promotion and some traditional offline marketing activities, resulting in a lack of direction and effect of marketing activities (Crozier, R 2023). Secondly, PetCircle's website and content lack good SEO optimization. Its website's SEO score is not high at present, and many problems need to be solved after analysis. Finally, in terms of user experience, the website takes a long time to load, and its interaction design is not smooth enough, which makes the user experience on PetCircle not perfect, resulting in a decrease in user satisfaction.

Finance Objectives: To increase PetCircle's annual net profit by 5% over the next 12 months

Digital Marketing goals: Increase your website's SEO score to 80 in the next 12 months while reducing the bounce rate by 10%

Specific: Implement strong network security measures to protect data security and gain customer trust; Expanding brand awareness through a diverse mix of digital and traditional marketing; Improve website SEO scores to enhance the customer website experience; Increase the eco-friendly product portfolio to improve PetCircle's sustainability.

Measurable: Increase online sales by 5% over the next 12 months. Increase PetCircle site's SEO score to 80 while reducing the bounce rate by 10%. Use Salesforce and Hubspot CRM to manage regional sales data, track changes in market share and number of partners.

Achievable: According to IBIS world (2023), the Australian pet market will grow by an average of 4.8% per year from 2018 to 2023, so our target of increasing net profit by 5% over the next 12 months is achievable. To ensure that our goals are achievable, we will define the KPIs of each activity in detail and continuously monitor and adjust them.

Relevant: The above goals are conducive to reducing the impact of negative news on petcircle and improving its digital marketing efficiency and customer conversion rate; Eventually making petcircle sales and market share increase.

Time-bound: Achieve the above objectives within the next 12 months, with quarterly reviews to ensure progress and flexibility to adjust strategy according to demand

Specific Digital Marketing Strategies

Expanding Reach with Regional Marketing and Partnerships

A regional marketing strategy and savvy local contacts will help Pet Circle develop throughout Australia. This campaign uses Google Ads, Facebook, and Instagram region-specific ads. According to Olutimehin et al. (2022), geolocation targeting lets Pet Circle target pet owners in urban and rural cities. Urban advertising can highlight fast delivery, whereas rural advertising can emphasize specialist pet products that are unavailable locally. Region-specific marketing increases customer loyalty.

Pet Circle raises brand exposure via partnerships with pet stores, shelters, and pet-friendly enterprises. These partnerships can enable Pet Circle's products to be sold and marketed. Visitors to major cities and towns can also connect with the brand via pop-up events. These events teach pet owners about Pet Circle products, provide veterinary advice, and offer special offers. Integrating digital and physical channels boosts local brand awareness, customer interaction, and sales across regions.

Enhancing the Customer Experience through Website and App Improvements

Pet Circle has to improve its website and mobile app to attract clients and simplify the buying process. Improve website security, load speed, and navigation. These investments can help Pet Circle enhance technology and meet consumer expectations (Srivastava, Kishore, & Dhingra, 2021). Keep visitors engaged longer and lower bounce rates by improving load speed and providing a clean, easy-to-navigate layout. Speeding checkout with safe, various payment alternatives can reduce cart abandonment and enhance profits.

Pet Circle can fix customer issues by collecting input via surveys and questionnaires. Personalized suggestions based on prior purchases or browsing patterns improve brand loyalty and shopping experience. Shetty et al. (2022) argues that user activity monitoring with data analytics helps Pet Circle streamline the online experience. These changes target high-income clients like Winnie Chen who seek quality, convenience, and simple online buying. Pet Circle can improve repeat sales, client loyalty, and its image as a trustworthy, user-friendly pet care service by concentrating on these areas.

Expanding Product Offerings and Promoting Sustainability

To address Australian demand for sustainable products, Pet Circle can extend its eco-friendly product portfolio and attract ecologically conscious pet owners. A “Green Pet Care” line featuring biodegradable toys, organic pet food, and eco-friendly grooming products will satisfy consumers and service a rising market of sustainable pet owners (Khalifa & Ali, 2023). Pet Circle works with sustainable merchants to provide high-quality, eco-friendly products.

The company can share these products on social media, blogs, and emails to increase awareness. Sustainable pet care blogs, infographics, and documentaries can interest eco-conscious pet owners. A Pet Circle “Sustainable Products” filter would help shoppers identify and buy green items. Pet Circle can enhance its image, meet consumer requirements, and build customer loyalty by becoming a socially responsible, green firm.

Potential solutions

The potential solutions I am going to describe are customer segmentation by AI and influencers partnerships. As for customer segmentation by AI, through data analysis by AI, customers are segmented into different target consumer groups, so that personalized marketing recommend and commercial are designed for their different needs. And when it comes to influencers partnerships, Pet circle is advised to work with local influencers or celebrities or celebrities to expand reach and build brand credibility in different communities. We are planning to invest 200, thousand to each event and we are expected to improve our saleroom up to 10%. There are both some positive and negative developments regarding the two potential solutions above. Firstly, AI is really a kind of helpful “digital staff” because it is real-time updates. AI can analyze the latest data in real-time, making segmentation more dynamic and aligned with current market conditions. Automation reduces labor costs, improves efficiency, and helps companies save resources. And AI tool has the ability to efficiently process large data sets, too. While there are some drawbacks to this potential solution, too. For example, privacy and data security issues is the most important issues we can not ignore. AI relies on large amounts of consumer data, which can raise privacy and data security concerns. And it may cause over-reliance on data: AI segmentation results are based on data, if the data is inaccurate or incomplete. Influencers often have a large number of followers and fans, and collaborating with them can help companies quickly boost brand visibility and reach more potential customers. But the results are unpredictable. The effectiveness of influencer promotions depends on factors like follower engagement and the influencer’s impact, making it challenging to predict the outcome accurately. It must be considered the potential brand risk, either. If an influencer acts inappropriately or has an image mismatch, it may negatively impact the company’s reputation. Therefore, I believe the best approach is to use AI to filter and segment consumers. Leveraging AI is a trend of the times. As a business, it is essential to protect consumer privacy based on legal and ethical principles and use AI to better serve consumers.

Implementation and action plans

As for the campaign of delivering the digital customer experience, Pet Circle can achieve the goal by influencers partnerships. And PetCircle needs to upgrade the current website. First of all, the campaign goal and objectives are the following. The first one is enhancing brand awareness. Increasing the visibility of pet food brands among pet owners, fostering greater awareness and trust. Second on driving product sales. Attract target customers by utilizing influencers' genuine product experiences and recommendations. Last one is strengthening brand reputation: position the brand as professional and trustworthy, demonstrating the company's commitment to pet health. If possible, we hope to increase the customer base by 10%. Our target audiences: Secondly, the primary audience: pet owners aged 18-40, particularly those attentive to their pets' health and food quality. And turn them from audiences to consumers. Then, influencer selection criteria and the type of influencer which we want to cooperate with prioritize influencers with an authentic and engaging style, able to build trust through relatable, genuine product experiences. After that is campaign activities. The first step is product review and recommendation: influencers create content featuring their pets consuming the brand's products, detailing unique characteristics, ingredients, and health benefits to build follower trust. The second step is live streaming interaction: influencers conduct live sessions sharing their experiences with the pet food, answering audience questions on pet nutrition, and promoting limited-time discounts or promo codes to boost conversions. The third step: social media content sharing: influencers post images, videos, or short-form reviews of the product on platforms such as Instagram, TikTok, and Xiaohongshu (as known as Little Red Book in China) with relevant campaign hashtags to encourage user engagement. The last step is giveaway campaigns: co-host giveaways with influencers, offering product samples or discount vouchers as prizes to enhance participation and brand exposure. Next, digital media channel selection part. The most important channels are Instagram and TikTok: These platforms are suitable for sharing video content and pet taste-test videos, with high interactivity that allows for quick exposure via the influencer's existing follower base.

Plan Time Frame

- Main Task: Product Review Video

- Timeline: 1st Jan. 2025-15th Jan. 2025
- Responsible Parties: Marketing team to coordinate with influencer; influencer responsible for filming and posting.
- Cost: Based on influencer reach and follower count but no more than 200,000 Dollars.
- External Support Needed: Contract with influencer or MCN (Multi-Channel Network) agency.
- Timeline: 16th Jan. 2025-30th Jan. 2025
- Responsible Parties: Collaboration between influencer and brand's social media team.
- Cost: Influencer fees, social media ads costs. About 100,000 Dollars.
- External Support Needed: Assistance from external advertising agencies for management.
- Live Streaming Event
- Timeline: 1st Feb. 2025-10th Feb. 2025
- Responsible Parties: Brand's live streaming team to coordinate with influencer on content and product highlights.
- Cost: Promo code expenses, influencer appearance fee.
- External Support Needed: Support from partnered live streaming platforms.
- Giveaway Campaign
- Timeline: 11st Feb. 2025-20th Feb. 2025
- Responsible Parties: Brand's social media team in collaboration with influencer for execution.
- Cost: Prize and operational expenses.
- External Support Needed: Influencer and associated advertising agencies.

Evaluation

First, we define KPI indicators to measure the implementation effect of each strategy (Chaffey, D 2023). We will use average session length, bounce rate and page load time to monitor users' experience with the PetCircle website in real time and send a survey to users via email to collect user satisfaction with the PetCircle site experience. In terms of data security and customer trust, we will regularly analyse the security score of the website and increase the number of security certifications to improve data security and gain customer trust. In terms of regional marketing and partners, our KPIs are regional sales, regional market share and the number of regional partners. Online and offline marketing campaigns We will use volume and customer click-through rates to evaluate conversion rates.

Next, we will use a variety of tools for data collection and analysis. We will use Google Analytics and Hotjar to collect data on user behaviour, tracking the average session length, bounce rate and page load time of users on the PetCircle website; Use safety monitoring tools Splunk and IBM QRader to monitor and record the data leak, double ensure the data security of the website; Use Salesforce and Hubspot CRM to manage regional sales data, track changes in market share and number of partners.

Finally, we will record the monthly and quarterly changes in the above data and conduct quantitative analysis to evaluate the effect of the strategy. Use Google Data studio to make trends for each indicator and suggest improvements.

Regarding milestone design, we have three stages to ensure the effectiveness and flexibility of the strategy:

Stage	Goal	timelength	Activities
Milestone 1:	Initial planning and tool selection	Month 1-2	· KPI indicators and data analysis tools for the next 12 months are deployed · Benchmarking and industry standards are used for comparison · Initial activity and anomalies are observed;
Milestone 2:	Data Analysis and strategy Optimization	Month 3-8	· The previously defined KPIs are continuously collected and evaluated. · Marketers use trend analysis and correlation analysis tools to observe trends in data and identify variables related to customer satisfaction and conversion rates. · If the previous digital marketing plan has positive effects, it should continue to promote and optimize; if it has negative effects, it should timely stop losses and adjust the plan;
Milestone 3	Annual Plan and Summary	Month 9-12	· The data of the past 12 months and the effect of the strategy should be summarized in detail, including financial performance data, customer feedback, annual user behavior data, etc., · The plan for the next year should be formulated.

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